Q3 Job Vacancies: another step lower

#labour #labour #employment



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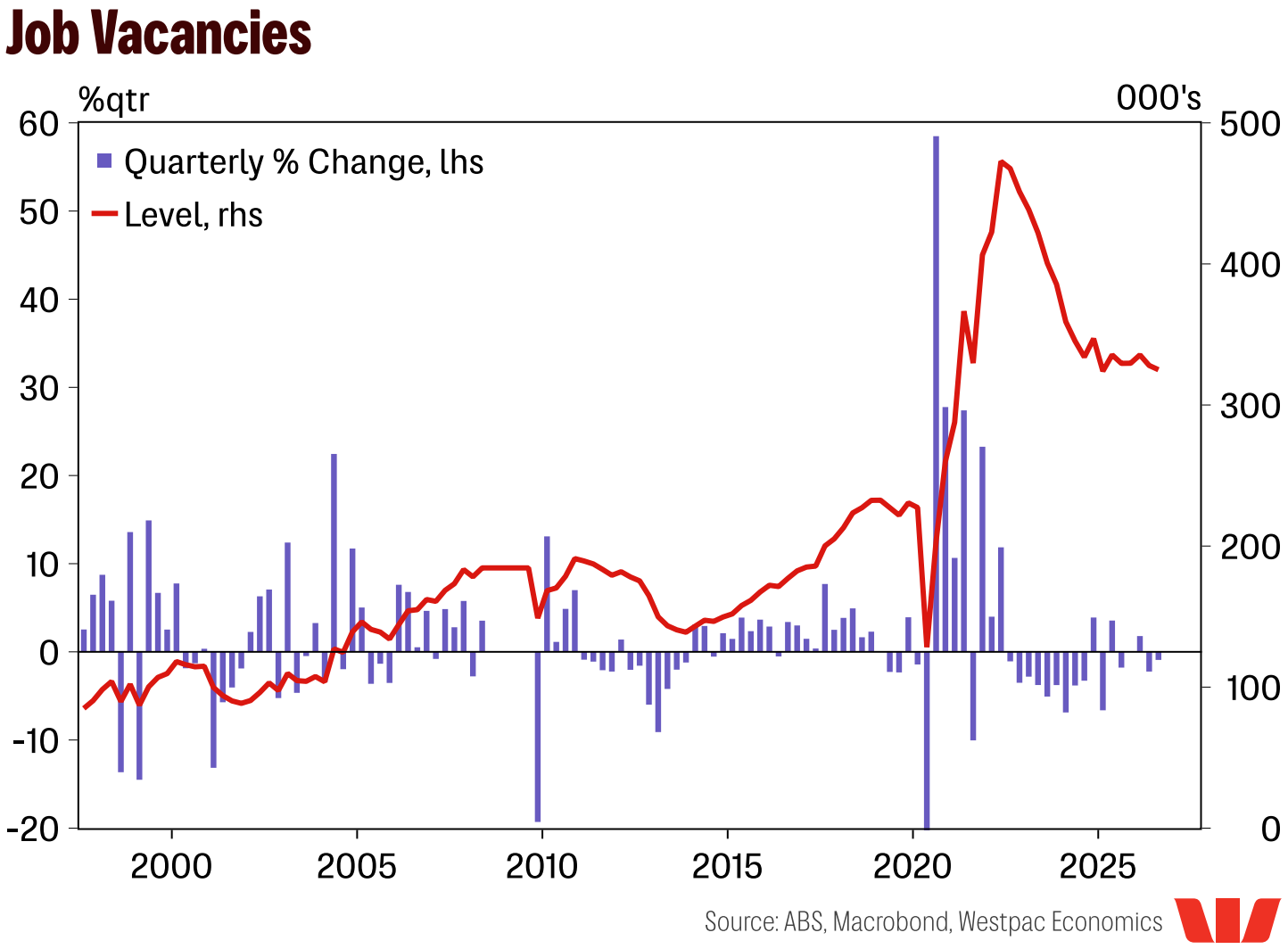
The number of job vacancies fell by 3.0k (–0.9%qtr) between May and August. The decline was wholly driven by the private sector, where vacancies fell 2.0%qtr. In contrast, public sector vacancies rose 7.8%qtr.



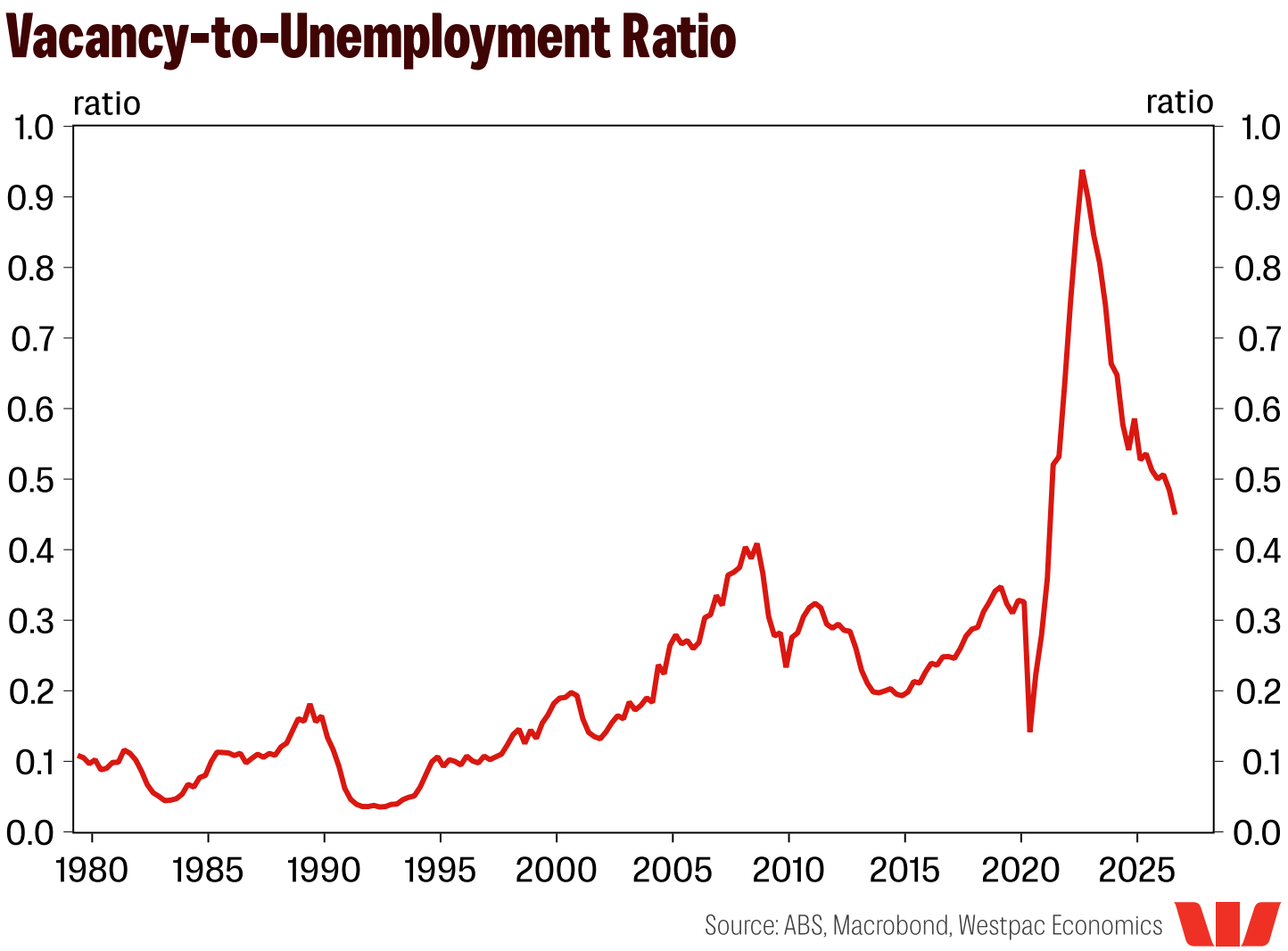
Job vacancies fell by 3.0k (–0.9%qtr) between May and August, extending the previous quarter's decline. The May and February estimates were also revised slightly lower. As a result, vacancies are now 1.4% below their level a year earlier. The result was at odds with partial indicators, which all pointed to a rise in the quarter.

The decline was wholly driven by the private sector, where vacancies fell 2.0%qtr to be 1.5%yr lower. In contrast, public sector vacancies rose 7.8%qtr, marking the strongest quarterly increase in four years and partially reversing the sharp 7.5%qtr decline recorded in the May quarter. Public sector vacancies were flat over the year.

Job vacancies have largely moved sideways since early 2025, though a resumption of the broader downtrend now appears increasingly likely. Labour demand has held up reasonably well, though not sufficiently to match growth in labour supply, resulting in a gradual easing in labour market conditions (see here). Today's result is also consistent with our view that this process will continue into early 2027 as the cumulative effects of high inflation and higher interest rates continue to weigh on activity and hiring demand.

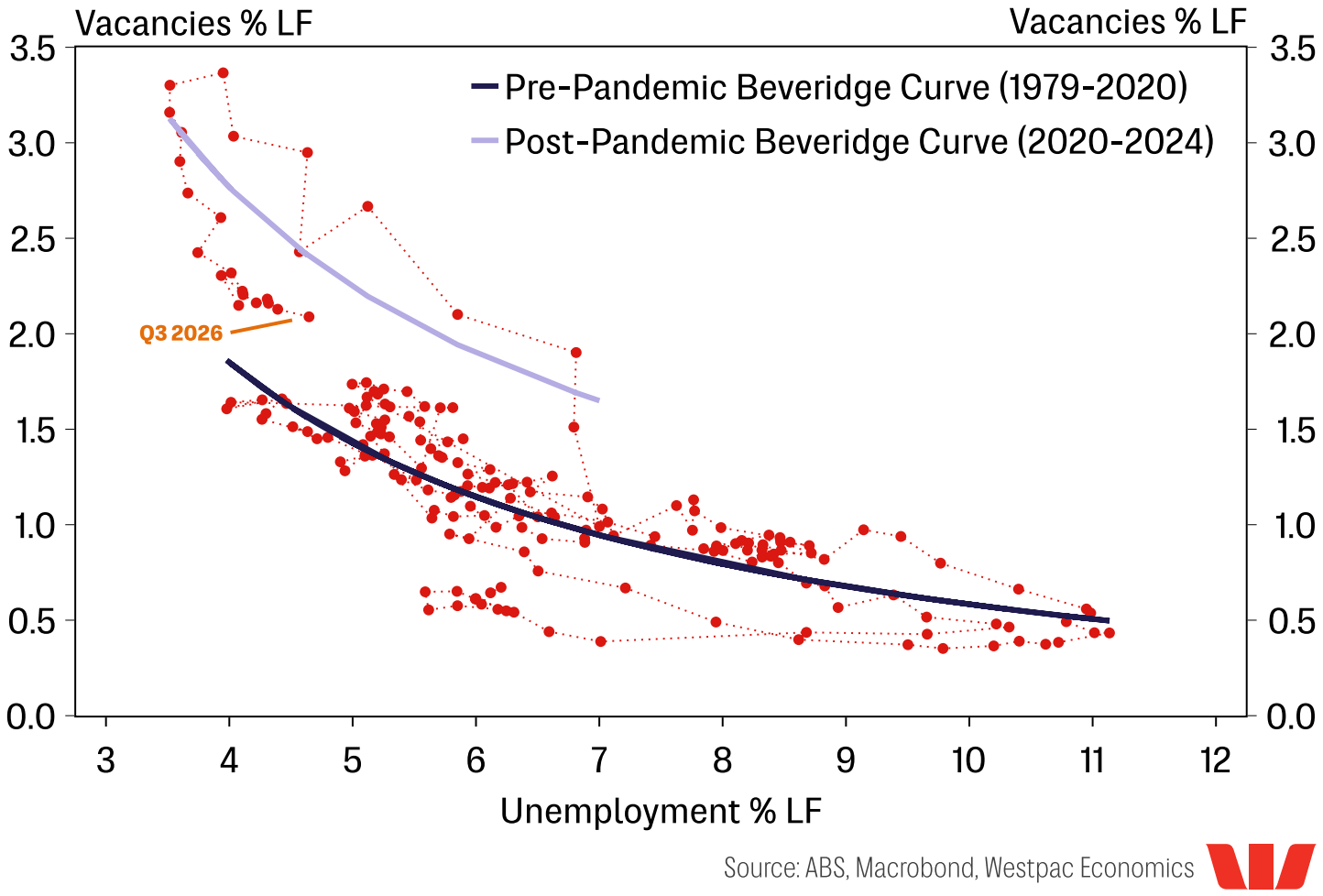


The vacancy-to-unemployment ratio, a key measure of labour market tightness closely monitored by the RBA, declined from 0.48 to 0.45. The fall was the sharpest since early 2025, reflecting both a decline in vacancies and a 6.8%qtr increase in the number of unemployed people over the quarter, largely owing to the continued strength in labour supply. The ratio remains well above its long-run average of around 0.2.



Given the strong growth in labour supply, the Beveridge curve provides a useful framework for assessing recent labour market developments. By comparing vacancies and unemployment as shares of the labour force, it controls for growth in the overall size of the labour market. Between 2022 and 2024, the labour market moved down the steep portion of the Beveridge curve, with substantial declines in vacancies occurring alongside only modest increases in unemployment. While labour market tightness has continued to unwind, Australia remains in this region of the curve, suggesting that further rebalancing between labour demand and supply can occur through lower vacancies without a material rise in unemployment.

Australia's Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

All statistics mentioned below are not seasonally adjusted and hence may not add up to the seasonally adjusted statistics referenced above.

By industry, job vacancies declined in eight of the 18 industries over the three months to August. The largest falls were recorded in wholesale trade (–18.2%qtr), professional, scientific & technical services (–17.4%qtr), and information media & telecommunications (–16.7%qtr). Consumer-facing sectors were mixed, with retail trade (24.6%) and arts & recreation services (10.3%) recording strong increases, while accommodation & food services edged 0.9% lower. Only three industries have seen vacancies fall below their pre-pandemic levels: administrative & support services (–24.3%qtr), information media & telecommunications (–9.1%qtr), and financial & insurance services (–7.3%qtr).

Overall market sector vacancies were flat in the quarter, meanwhile the non-market sector saw a 2.9% drop, owing to declines in education & training (–8.2%qtr) and health care & social assistance (–4.2%qtr). For detailed insights on industry condition, see Q2 Labour Account and the Westpac Business Signal.

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